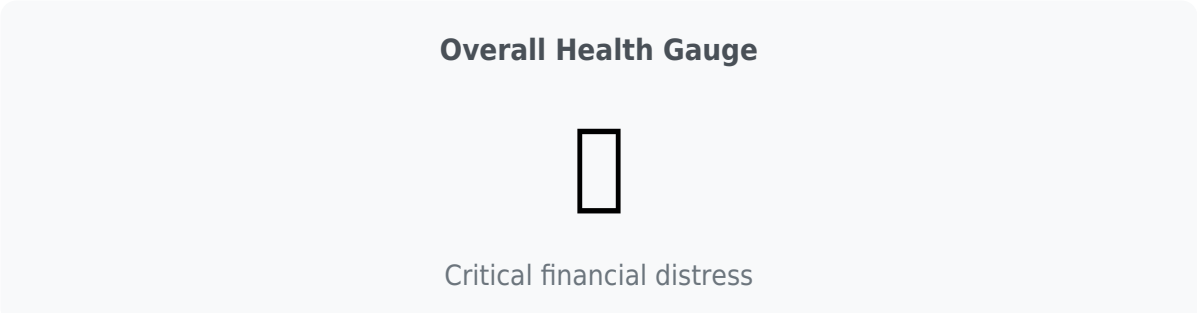


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# Profit Niti AI CFO Report

## 1 Big Picture — How the Business Looks Right Now

The business is facing severe financial stress with a dramatic negative equity position of - ₹408 million in April 2025, down from positive ₹121 million in March. Sales remain substantial at ₹967 million in April but are overshadowed by massive losses of - ₹602 million. Cash position is stable at ₹218 million, but working capital has deteriorated significantly from ₹986 million to ₹439 million. The company is operating with negative margins and requires urgent intervention.



### GREEN FLAG BOX — What's Working Well:

- Strong cash position maintained at ₹218 million
- Accounts receivable days improved to 14 days
- Operating cash flow turned positive in March

### RED FLAG BOX — What Needs Attention:

- Massive ₹602 million loss in April 2025
- Negative equity position of -₹408 million
- Gross margin collapsed to -60.67%

#### CFO Advice:

"Immediate cost restructuring and operational review required. Focus on restoring gross margins and reducing overheads to prevent further equity erosion."

## 2 Profit Power — The Earning Engine

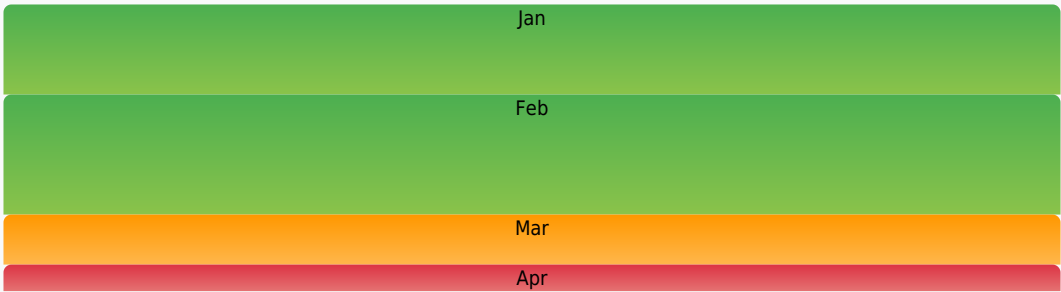
The profit engine has completely broken down with a -62.29% net profit margin in April. The primary driver is catastrophic gross margin performance at -60.67%, indicating severe pricing pressure or cost inflation. COGS of ₹1,553 million exceeded sales of ₹967 million, creating a fundamental business model issue. Overhead expenses remain relatively controlled at 1.82% of sales, but cannot compensate for the gross margin collapse.

#### Sales → Profit Waterfall



Gross Revenue Net Loss

Margin Performance Trend



Gross Margin % Trend

CFO Advice:

"Conduct immediate pricing and cost analysis. COGS exceeding revenue indicates fundamental business model failure - review supplier contracts and product pricing urgently."

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